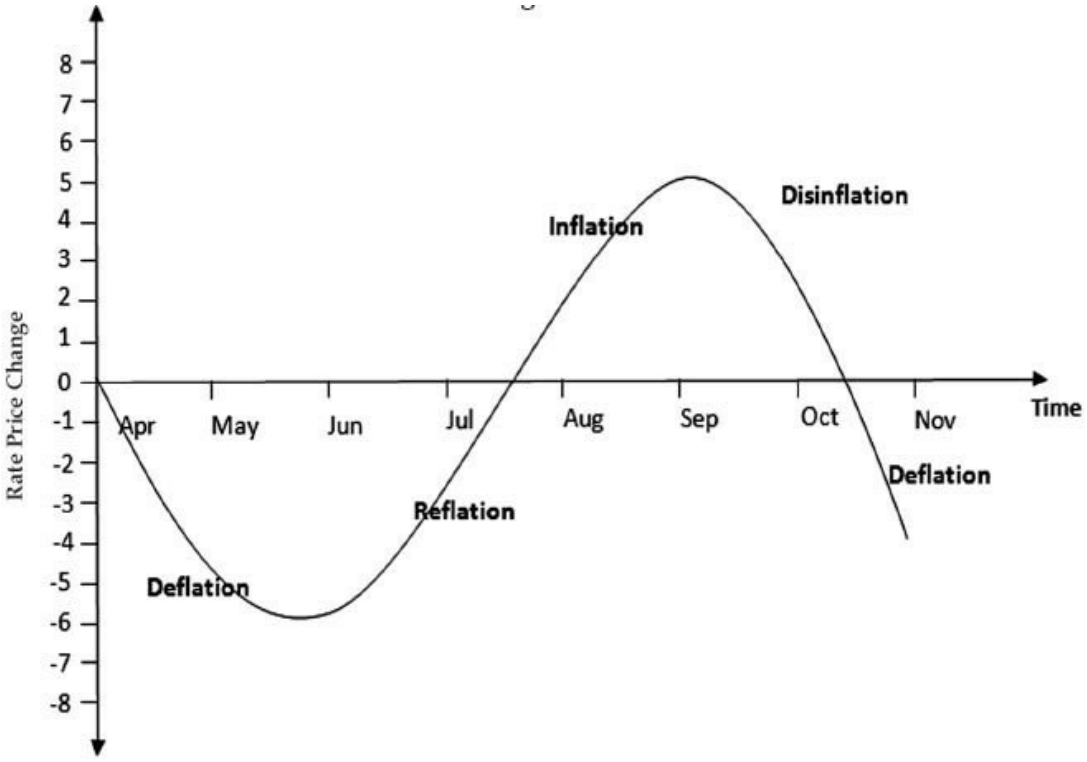
Related Terms

Deflation

Deflation is opposite to that of inflation. The persistent and appreciable fall in the general level of prices is called as deflation. The rate of change of price index is negative. The effects, causes and measures are also in the opposite direction.

Figure 10.2



Reflation

Reflation means deliberate action of government to increase rate of inflation to stimulate the economy. It is usually done